Apple Inc. | Investment Committee Memo

Valuation date: July 31, 2026 | Eleanor Madden

Decision and committee ask

For the buy-side committee with no AAPL position: watch/defer; do not initiate at the July 31, 2026 closing price of $308.91 under these assumptions. The conditional FCFF valuation range is $78.52-$181.30 per estimated common equivalent, with a base of $119.60. Request assumption and claims review and next-quarter monitoring. These are July 31 values, not October 19 targets. Methods are not mechanically averaged.

Evidence and date boundary

The information cutoff is July 31, 2026 at 5:00 p.m. EDT; the price reference is the regular-session close at 4:00 p.m. EDT. Apple's July 30 release and July 31 10-Q acceptance at 6:01:02 a.m. provide June 27 reported balances and the July 17 common-share count. June 27 cash of $39,544 million, securities of $106,973 million, and gross debt of $84,344 million are reported; July 31 cash of $39,879.35 million and unchanged debt are model estimates.

The engine forecasts the June 27-September 26 quarter with revenue 10% above prior-year Q4 and a 47.5% gross margin. Assumptions use actual nine-month revenue of $364,357 million and annualized balance proxies; fixed flows are prorated. Estimated elapsed-quarter FCFF of $9,006.10 million (34/91 of the quarter) is excluded. The remaining stub of $15,098.47 million and five full years, FY2027-FY2031, use actual-date discount periods. Reported opening and projected balance sheets reconcile. The source ledger and docs/dates_and_methods.md distinguish facts from estimates.

Assumptions, range and cross-checks

Base annual growth is 8%, 6%, 5%, 4%, and 3%; gross margin is 48%, 48.5%, 49%, 49%, and 49%. R&D is 9.5% of revenue, capex 3%, and operating tax 18%. Future stock compensation remains a cash-equivalent expense, with no addback or new issuance. Estimated shares of 14,652.746 million combine the July 17 basic count and a 58.566 million existing-dilution proxy; this is not a reported fully diluted count.

WACC of 10.6055% uses the July 30 DGS10 observation of 4.68%, assumed beta of 1.10 and equity risk premium of 5.5%, marginal debt cost of 5%, tax shield of 21%, and gross book-debt weight. Terminal growth is 2.5%; terminal value supplies 68.91% of EV. Implied continuing ROIC is 64.3%, a demanding assumption. EV of $1,719,915 million plus estimated surplus assets of $116,852 million less debt of $84,344 million gives equity of $1,752,423 million. The operating reserve is $30,000 million; future cash is not added. Aggregated operating liabilities and zero incremental claims are material simplifying assumptions.

The low case uses Q4 growth of 5% and gross margin of 45%, then annual growth of 2% and margin of 44%; R&D is 10.5%, capex 4%, WACC 11%, terminal growth 2%, and buybacks are suspended. The high case uses Q4 growth of 11% and margin of 48%, annual growth of 10%, 8%, 7%, 6%, and 5%, margin of 51%, WACC of 9%, and terminal growth of 3%. These scenarios are judgments, not confidence bounds.

A two-percentage-point annual growth increase raises FY2031 operating profit by $19,762 million, FCFF by $14,305 million, and value by $9.13 per share. A two-point margin increase raises profit by $10,549 million, FCFF by $8,600 million, and value by $6.30. Reset restores $119.60. Growth ranks first over the supplied ranges; margin ranks first under alternative ranges.

Microsoft's June-ending TTM results and common July 31 price yield 22.00x EV/EBIT and 25.81x common equity/GAAP net income. Applying those multiples implies $236.73 and $227.06 per

estimated target common equivalent. These are single-peer diagnostics, not a multi-peer range. Investment gains, business mix, capital intensity, and required returns help explain disagreement with DCF. Alphabet is excluded from the calculated comparison; preferred-equity and investment normalization limit its comparability.

Monitoring and conditional action

Initiation requires supported economics, independent review, and a price at least 20% below the dated base (illustrative threshold: $95.68); this is not an October trade limit. Reassess after two quarters of revenue growth below 6% or refund-adjusted gross margin below 47%, capex/revenue above 4%, claim or award changes, or any failed check. The reverse DCF requires a 27.13-percentage-point increase in all five annual growth rates at fixed margins, bridge, WACC, and terminal growth to reach $308.91. This is not a unique market forecast.

Validation: both engines exited successfully. Of 32 tests, 31 passed and one original-file preservation check was skipped because the source was unavailable. These are AI-assisted validation results; they do not establish independent human checks or historical checkpoint provenance. See docs/validation-and-ai-use.md and outputs/validation_results.md for methods, AI disclosure, evidence limitations, and test outcomes.